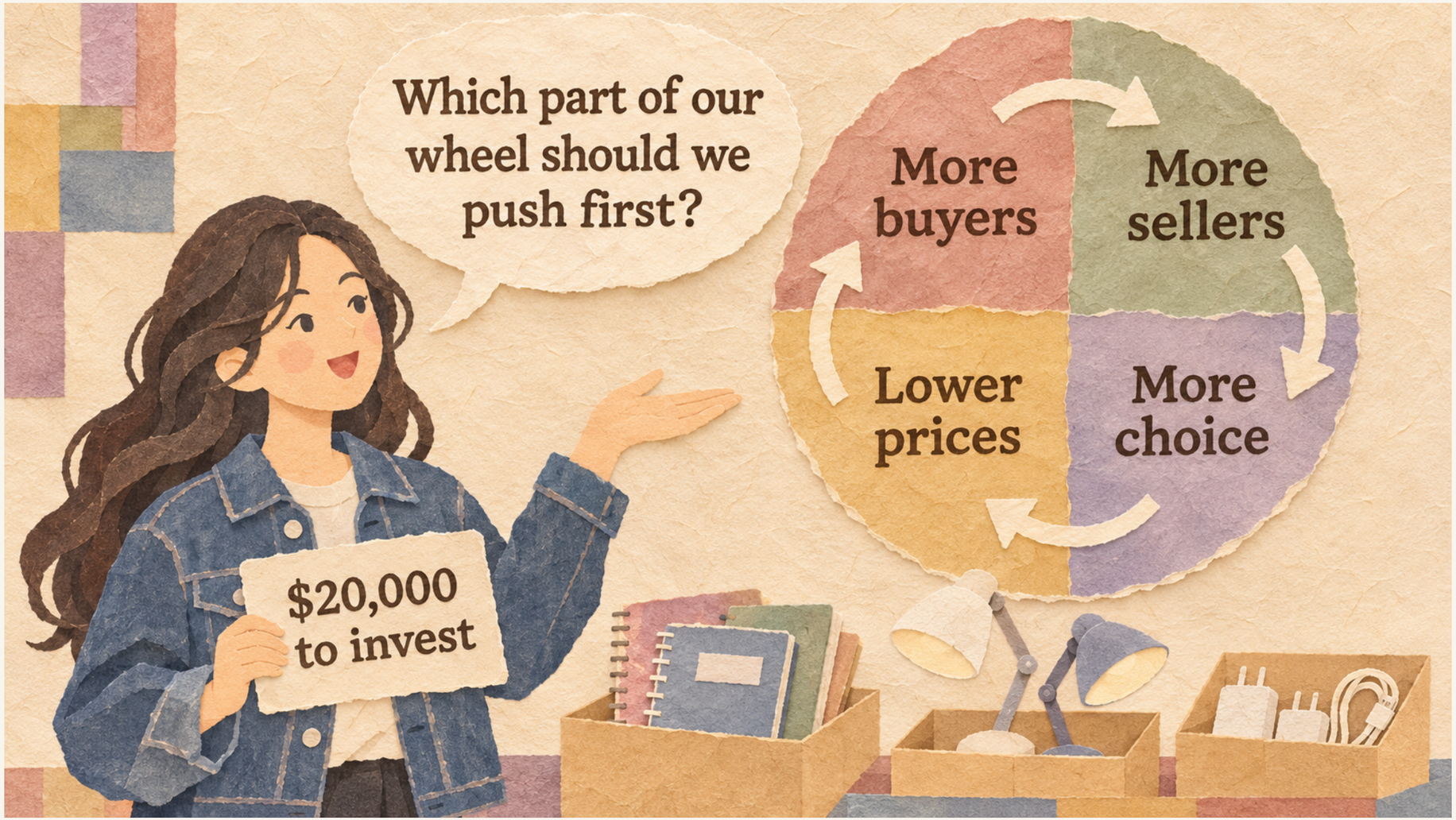
Session 4.1: The Flywheel Strategy (Case Study: Amazon)



CampusMart: loyal buyers, slow growth

CampusMart is Sofia's online store for student goods. It buys and stocks every product itself, so it adds only a few products a month. Her marketing manager wants to spend $20,000 on ads; small campus shops ask to sell on CampusMart.

CAMPUSMART (ONE MONTH)	VALUE
Buyers	**4,000**
Products for sale (all stocked by CampusMart)	**300**
Average order / profit per order (10%)	**$25 / $2.50**
Monthly profit (4,000 x $2.50)	**$10,000**
Delivery time	**3 days**
Money to invest	**$20,000**

What is the Flywheel Strategy?

A business is built as **a loop in which each part pushes the next**. A flywheel is a heavy wheel: hard to start, but each push makes it spin faster. Amazon's loop: **lower prices and more choice bring more buyers; more buyers attract more sellers; more sellers add choice; growing sales lower costs, so prices fall again.** Instead of paying again and again for growth, the company invests in the parts of the loop that keep turning on their own.

Use it when growth in one part really makes another part better, and you have enough money to keep pushing until the wheel turns by itself.

Flywheel, marketplace, seller fee

Flywheel

A loop of business steps in which each step makes the next one stronger.

Example: more buyers, then more sellers, then more choice, then more buyers.

Marketplace

An online store where outside sellers sell their own products, and the owner earns a fee.

Example: small campus shops sell their own products on CampusMart.

Seller fee

(commission)

The share of each sale that the marketplace keeps.

Example: a $20 lamp; CampusMart keeps 10%, or $2.

Economies of scale, cross-subsidy, retention

Economies of scale

Lower cost per unit when a business grows.

Example: shipping 100 boxes a day costs less per box than shipping 10.

Cross-subsidy

Using profit from one part of a business to pay for another part that is still losing money or growing.

Example: Amazon used profit from its cloud business to support its online shops.

Retention

The share of customers who keep buying after their first purchase.

Example: 600 of 2,000 new buyers order again: 600 / 2,000 x 100 = 30%.

Rule 1: Draw your loop, and check each arrow

Write the loop as arrows. For each arrow, ask: does more of this really lead to more of the next?



DO

Example

More buyers bring more outside sellers, because sellers want customers. More sellers add products. More products bring more buyers.

AVOID

Common mistake

Drawing a loop with a weak arrow, such as "more buyers lead to lower prices" when the business is too small to get better prices.

Rule 2: Push the step that turns the whole wheel

Usually this is what customers feel: lower prices, more choice, or faster delivery. Spending there helps every other step.



DO

Example

Opening CampusMart to outside sellers adds hundreds of products without CampusMart buying any stock. More choice turns the whole loop.

AVOID

Common mistake

Spending on ads that bring buyers for one month only. The wheel moves once and stops when the ads stop.

Rule 3: Turn growth into lower costs, and give the savings back

As the wheel spins, use the savings to lower prices or speed up delivery. That makes the wheel spin faster.



DO

Example

When CampusMart ships 300 orders a day instead of 130, delivery costs less per order, so Sofia offers next-day delivery.

AVOID

Common mistake

Keeping all the savings as profit too early. Customers see no improvement, and the wheel slows down.

Rule 4: Pay for the wheel with steady profit

A flywheel is slow at first. Fund it from a profitable part of the business, not only with borrowed money or discounts, and know how long you can wait.



DO

Example

CampusMart's own product sales earn $10,000 a month. Sofia uses part of this profit to support the marketplace until seller fees grow.

AVOID

Common mistake

Paying for growth with huge discounts funded by investors. When the money runs out, buyers who came for discounts leave.

Amazon

What happened

In 2001, Jeff Bezos sketched Amazon's flywheel. Amazon opened its store to outside sellers; by 2023 they sold about 60% of the units on Amazon. It launched Prime in 2005 ($79 a year for free two-day shipping). In 2022, Amazon's online shops lost about $10.6 billion, but AWS, its cloud business, earned about $22.8 billion of operating profit and kept Amazon profitable.

Why it is good

- Each step feeds the next: buyers bring sellers, sellers bring choice. **(Rule 1)**
- Invested in what customers feel: choice, price, fast delivery. **(Rule 2)**
- AWS profit paid for the retail wheel in hard years. **(Rule 4)**

Costco

What happened

Costco charges a yearly membership fee and keeps prices low: it limits how much it adds to the cost of most products (about 14 to 15%). About 90% of members worldwide renew each year. Membership fees brought in about $5.3 billion in fiscal 2025.

Why it is good

- Low prices bring members; members give buying power; buying power lowers prices. **(Rule 1)**
- Gives savings back to members instead of raising margins. **(Rule 3)**
- Steady membership fees pay for the low prices. **(Rule 4)**

BAD EXAMPLE 1

Jet.com

What happened

Jet.com launched in 2015 as an online store that promised lower prices than Amazon. It spent heavily on discounts and marketing, funded by investors. Walmart bought it in 2016 for about $3.3 billion. Sales did not keep growing, and Walmart shut Jet.com down in 2020.

Why it is bad

- Low prices came from investor money, not from savings the loop created. **(Rule 3)**
- Buyers came for discounts and did not stay. **(Rule 4)**
- Never built its own strong loop of sellers and loyal members. **(Rule 1)**

BAD EXAMPLE 2

ofo bike sharing

What happened

ofo, a Chinese bike-sharing company, put millions of bikes on city streets and offered very cheap rides, paid for with investors' money. More bikes did not lower its costs: many were broken or lost. In December 2018, more than 10 million users asked for their deposits back, and ofo could not pay them all.

Why it is bad

- More bikes created more costs, so "growth lowers costs" was broken. **(Rule 1)**
- Cheap rides were paid for with investors' money, not steady profit. **(Rule 4)**
- When the money ran out, users lost trust and the wheel stopped.

Which rule made the difference?

EXAMPLE	RESULT	THE RULE THAT DECIDED IT
Amazon	**Good**	A real loop, funded by AWS profit (Rules 1 and 4)
Costco	**Good**	Savings go back to members (Rule 3)
Jet.com	**Bad**	Low prices bought with investor money (Rules 3 and 4)
ofo	**Bad**	Growth raised costs instead of lowering them (Rule 1)

A real flywheel keeps turning after you stop paying for it.

Tool 1: The loop check

USED IN EXERCISES 1 AND 2

How to check

Write each step of the loop, and for each arrow write "because ..."

If you cannot finish the sentence, the arrow is weak.

WHAT IT LOOKS LIKE

Example: a ride app

- "More riders lead to more drivers, because drivers earn more where there are more riders." Strong.
- "More drivers lead to lower costs, because ..." If you cannot say why, the arrow is weak.

Tool 2: Value of buyers who stay

USED IN EXERCISE 3

Formula

Extra profit = new buyers who stay x profit per buyer per month x number of months

WHAT IT LOOKS LIKE

Example: ads

- Ads bring 1,000 new buyers; 20% stay: 200 buyers.
- Each brings $3 profit a month.
- Over 6 months: 200 x $3 x 6 = $3,600.

Tool 3: Profit over several periods (from Session 3.1)

USED IN EXERCISE 3

Formula

Profit = extra profit per period x number of periods - one-time cost

WHAT IT LOOKS LIKE

Example

- A $5,000 investment adds $1,500 profit a month.
- After 6 months: 6 x $1,500 - $5,000 = $4,000.

Tool 4: Trade-off and decision rule (from Session 2.1)

MEMO BULLET 2

Trade-off

What you give up to get something you value more.

MEMO BULLET 3

Decision rule

A promise, written before you start, about which result would make you change your decision.

Example: "If fewer than 50 outside sellers join in the first three months, we will lower the seller fee."

Is the loop real?

Six companies describe one arrow of their loop:

- (a) A food delivery app: more restaurants lead to more customers.
- (b) A video site: more viewers lead to more video makers.
- (c) A bakery: more customers lead to lower flour prices from its supplier (it buys 20 kg a week).
- (d) A language app: more learners lead to more practice data, which makes lessons better.
- (e) A clothing shop: more ads lead to more loyal customers.
- (f) A marketplace: more sellers lead to lower prices, because sellers compete.

EXERCISE 1 / EASY / 20 MIN

Use the template

TEMPLATE

Arrow [letter]: [strong / weak], because [why more of the first step really leads,
or does not lead, to more of the next step].

WORKED EXAMPLE: TWO OTHER ARROWS

Arrow: a ride app: more riders lead to more drivers.
Strong, because drivers earn more and wait less where there are more riders.
Arrow: a small cafe: more customers lead to faster coffee.
Weak, because more customers make the line longer, not faster.

Can you finish the "because" sentence?

ARROW	ANSWER	WHY
(a) Restaurants to customers	Strong	More choice brings more customers
(b) Viewers to video makers	Strong	Makers go where the viewers are
(c) Bakery flour prices	Weak	20 kg a week is too little to get better prices
(d) Learners to better lessons	Strong	More practice data improves lessons (Session 2.1)
(e) Ads to loyal customers	Weak	Loyalty comes from products; ads stop
(f) Sellers to lower prices	Strong	Competing sellers lower prices

Draw a flywheel and find the step to push: StayLocal

Scenario

- Students rent rooms from local home owners for short stays: **2,000** renters, **150** home owners.
- Renters complain that there are too few rooms.
- Home owners would list rooms if they could find renters easily.
- **$6,000** for one option: (1) ads to renters, (2) free photos for new home owners' rooms, (3) a 10% discount for every renter for one month.

Your steps

- **Step 1:** Draw four steps of the loop, with a "because" sentence for each arrow (Tool 1).
- **Step 2:** Choose the push with the template on the next slide.

EXERCISE 2 / MEDIUM / 30 MIN

Use the template

TEMPLATE

Our loop: [step 1] -> [step 2] -> [step 3] -> [step 4] -> back to [step 1].
The weakest step today is [step], because [evidence from the scenario].
We should spend on [option], because it [how it pushes the weakest step and then the whole loop] (Rule 2).
We should not spend on [option], because [why its effect stops] (Rule 2 or Rule 4).

WORKED EXAMPLE: A HOMEWORK-HELP APP

Our loop: more students -> more questions -> more paid answers for tutors -> more tutors -> faster answers -> more students.
The weakest step today is tutors, because students wait 2 hours for an answer.
We should spend on a bonus for tutors' first 10 answers, because faster answers bring more students (Rule 2).
We should not spend on student ads, because new students would wait even longer and leave.

Push the weakest step: rooms

- **Loop:** more rooms -> more renters -> more income for home owners -> more home owners list rooms -> more rooms.
- **Weakest step:** the number of rooms (renters complain there are too few).
- **Best push:** option (2), free photos for new home owners: more and better rooms bring renters, and renters bring home owners (Rule 2).
- **Not (1):** more renters for too few rooms, so they leave.
- **Not (3):** helps for one month and stops when the discount ends (Rule 4).

Ads or the flywheel? CampusMart's next 6 months

4,000 buyers / $2.50 profit per order / one order per buyer per month / $20,000 to invest

ONE-TIME PUSH

Option A: Ads

Spend **$20,000** on ads: **2,000** new buyers in month 1.

30% of them keep ordering every month after that.

FLYWHEEL

Option B: Open a marketplace

Spend **$20,000** to build it. **100** sellers add **3,000** products; their sales are **$30,000** a month, with a **10%** fee.

More choice adds **300** more buyers every month: 300, 600, ... up to 1,800 in month 6.

Calculate before you decide (Tools 2 and 3)

- Option A: month 1 = 2,000 x $2.50 = $_____; buyers who stay = 2,000 x 30% = ____; months 2 to 6 = stayers x $2.50 x 5 = $_____; result = month 1 + months 2 to 6 - $20,000 = $_____
- Option B: fees = $30,000 x 10% x 6 = $_____; buyer-months = 300 + 600 + 900 + 1,200 + 1,500 + 1,800 = ____; profit = buyer-months x $2.50 = $_____; result = fees + profit - $20,000 = $_____
- Option B if only 20 sellers join: fees = $600 a month; extra buyers 100, 200, ..., 600. Result = $_____
- In month 7, which plan still brings new buyers? ____

Write a 3-bullet memo to Sofia (Tool 4)

TEMPLATE

To: [founder name], [company]
1. Decision and evidence: We should choose [option] because [the rule it follows] and [one number from your calculation].
2. Biggest risk and trade-off: The weakest point is [risk]. We give up [what we lose] to gain [what we protect or win].
3. Next step and decision rule: In the next three months we will [one action] and measure [one number]. We will change this decision if [result].

Then give a 2-minute presentation using your three bullets.

StayLocal: where to spend $6,000?

To: Ben Ortiz, founder, StayLocal

1. Decision and evidence: We should spend $6,000 on free photos for new home owners, because rooms are the weakest step of our loop (Rule 2): renters already complain that there are too few rooms.

2. Biggest risk and trade-off: The weakest point is that home owners may not list rooms even with free photos. We give up a quick rise in renters from ads to fix the step that turns the whole wheel.

3. Next step and decision rule: In the next three months we will offer photos to 100 home owners and count new rooms. We will change this decision if fewer than 40 new rooms are listed.

Ads stop; the flywheel keeps turning, if sellers come

- Option A: month 1 = **$5,000**; 600 stay; months 2 to 6 = **$7,500**; result = **-$7,500**.
- Option B: fees = **$18,000**; 6,300 buyer-months = **$15,750**; result = **$13,750**.
- Option B with only 20 sellers: $3,600 + $5,250 - $20,000 = **-$11,150**.
- In month 7, only Option B still brings new buyers. Option A's effect stops when the ads stop.

What a strong memo looks like

- Usually chooses Option B (Rules 1 and 2).
- Names the real risk: too few sellers may join.
- Plans to support the marketplace with profit from CampusMart's own sales (Rule 4).
- Gives a decision rule: "If fewer than 50 sellers join in the first three months, we will lower the seller fee or help sellers list products."

SUCCESS CHECK

Can you do these three things?

01

Draw a business's flywheel and check each arrow.

02

Find the step that turns the whole wheel.

03

Compare a one-time push with an investment in the loop and write a decision rule.

REFERENCES

Collins, J. (2019). Turning the Flywheel. Harper Business.

Amazon.com, Inc. (2023). Form 10-K for fiscal year 2022. Segment operating income.

Marketplace Pulse. Amazon third-party seller share.

Costco Wholesale Corporation (2025). Form 10-K for fiscal year 2025.

Axios (2020, May 20). Walmart grounds Jet.com. Caixin Global (2018, December 17). Riders go to ofo in search of refunds.